

DEPRECIATION

Applying depreciation

When calculating depreciation, there are a number of different factors to consider. For instance, a business needs to be able to predict the number of years an asset will last. Helpfully, tax authorities in most countries issue guidelines to accountants and businesses with estimates of the useful economic life of many common business assets.

Companies may also wonder which of the many methods of calculating depreciation to use for a given asset. Each method reflects a different pattern of depreciation, with some being more suitable for particular

categories of assets. For example, the “accelerated” methods that chart rapid depreciation at the beginning of an asset’s life are more suitable for technology, while the “activity” methods that link depreciation to actual hours of use or number of units produced are best suited to transport and production lines.

Again, tax authorities in most countries offer guidelines on which method to use. Although it is technically possible for a company to use two different methods for their own accounting and for tax purposes, this is best avoided.



WARNING

Misusing depreciation

- **The wrong method** A company must choose a method that is permissible for an asset type
- **Frontloading** Opting for an accelerated method can result in a taxable gain if an asset is sold early, for more than its book value
- **Claiming beyond useful life** Depreciation cannot be claimed after an asset’s useful life
- **Ignoring depreciation** If a company fails to claim depreciation, it has to report a gain from the sale, despite the loss on deduction

Other depreciation methods

There are many different methods of calculating depreciation. Some are favored by particular tax codes, while others are specifically applicable to certain industries and types of assets, and their patterns of value loss.



Double declining balance method

A method used to claim more depreciation in the first years after purchase, which is useful for assets that lose most of their value early on. It reduces a company’s net income in the early years of an asset’s life, but generates initial tax savings.

$$\left(\frac{\text{PURCHASE VALUE} - \text{SCRAP VALUE}}{\text{USEFUL ECONOMIC LIFE (YEARS)}} \right) \times 2 = \text{ANNUAL DEPRECIATION (\%)}$$

When to use it This accelerated method can be used for any asset that loses value early on, such as computers or a delivery truck.



Sum of the years’ digits method (SYD)

Depreciation is calculated by dividing each year of the asset’s life by the sum of the total years to give a percentage of the depreciable value. If the asset’s useful life is 5 years, then the sum of the years as digits is 15 (5 + 4 + 3 + 2 + 1). In year 1, it loses 33 percent (5 ÷ 15), in year 2, 27 percent (4 ÷ 15), and so on.

$$\left(\frac{\text{PURCHASE VALUE} - \text{SCRAP VALUE}}{\text{SUM OF THE YEARS' DIGITS}} \right) \times \text{REMAINING USEFUL LIFE} = \text{ANNUAL DEPRECIATION (\%)}$$

When to use it This is another accelerated method that can also be used for vehicles that lose most of their value early on.